GMS WEEKLY

Your Source for Recycling News

June 3rd, 2022
Volume 239, Issue 1034
Week 22

Highlights:

- **Drying up.**
- **No panic sales.**
- **Sentiments shot.**
- **Lowball offers.**
- **Freight flying.**

QUOTE of the WEEK

"He is a wise man who does not grieve for the things which he has not, but rejoices for those which he has."

– Epictetus

MARKET COMMENTARY

LULL!

As sales dry up into sub-continent markets due to firming freight rates and plummeting vessel prices, the industry is (once again and expectedly) entering a lull, especially as the traditionally quieter summer / monsoon months descend.

At this time, we do not anticipate Ship Owners or Cash Buyers to offload any of their inventories (if vessels are even available) at these reduced rates and End Buyers still remain reluctant to commit units at any firm numbers being demanded, such is the volatility in the market at present.

There have not been any sales to benchmark this recent fall in levels, but depreciating currencies and plummeting steel plates prices seem to have knocked over USD 100/LDT off across the sub-continent & Turkish markets and sentiments do appear to be shredded as nerves remain frayed.

Accordingly, there have been some opportunistic numbers being dished around, far below where most in the industry believe prices should be at present, and as expected, no Ship Owner or Cash Buyer is presently willing to entertain such offers in the low USD 600s/LDT (perhaps even lower), as recycling markets stabilize for the time-being.

A gradual rebound is eventually expected, especially as supply remains extremely restricted and yards are more than empty, but just how far and how soon levels will return remains anyone's guess.

Overall, despite yard capacity improving across the sub-continent, freight sectors too have been performing admirably (Tankers, Containers and Dry), thereby resulting in a suffocation of resales to global Recyclers. Evidence of this even presents itself at the waterfront, as local port positions are starting to dwindle with marginal arrivals this week.

As such, given the historical tenacity of these pricing trends, we can expect levels and demand to pick up as we head towards the third quarter of the year, with most in the industry hoping for a sustained recovery..

For week 22 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Weak	620 / LDT	630 / LDT	640 / LDT
2	Bangladesh	Weak	610 / LDT	620 / LDT	630 / LDT
3	Pakistan	Weak	600 / LDT	610 / LDT	620 / LDT
4	Turkey	Weak	310 / LDT	320 / LDT	330 / LDT

BANGLADESH

SMELLING BLOOD!

Yards clearing.

After a largely inert few months and as Chattogram yards process and sell off their inventory, demand is starting to creep back up in Bangladesh once again.

The primary and growing local concern continues to be a currency that has rapidly deteriorated against the U.S. Dollar (about a 5% fluctuation through the week) and a pause on a number of high-profile construction projects due to spiralling costs.

Budget due.

Even local port position has started to dwindle with just a few fresh arrivals reported this week.

Overall, as the Bangladeshi budget is expected on June 9th, it is hoped that the government may provide some stimulus for the ship recycling industry, and perhaps even renegotiate some of the big domestic construction projects to get 'business-as-usual' underway in Bangladesh once again.

NO MARKET SALES REPORTED

INDIA

AVERAGING DOWN!

As some of the higher-priced inventory continues to be delivered & beached at Alang, Alang Recyclers are increasingly hopeful of acquiring some cheaper units, in order to average out some of these hefty recent losses.

Seeking cheaper.

Unfortunately, incoming tonnage is now at a premium and likely to remain that way over the summer / monsoon months, particularly as these new lower realities start to gradually sink in.

Steel plate prices continue to endure wild daily swings – often up and down over consecutive days by as much as USD 15 – USD 20/LDT, whilst the currency continues its worrying deterioration into the high Rs. 77s against the U.S. Dollar.

Wild swings.

NO MARKET SALES REPORTED

PAKISTAN

SHUT SHOP!

Closed doors.

Pakistan, as a viable ship recycling destination, may as well shut-shop and close its doors for the time-being, as no Ship Owner or Cash Buyer is looking forward to heading towards a market where trouble has now become a key watchword.

Inability to open L/Cs on time, blatant renegotiations at the waterfront and an utter refusal to perform deals have now become a shocking regularity in Gadani. Accordingly, vessels are better off being diverted elsewhere for a lower price, however, with a greater assurance of a far smoother performance.

Incapable.

While it would seem unfair to isolate Pakistan whilst all markets have suffered recent reversals, however, nowhere has this been more acutely received by End Buyers than in Pakistan, where here too, the currency has depreciated alarmingly, yet, Gadani Recyclers seem incapable of putting up with it.

NO MARKET SALES REPORTED

TURKEY

TIPPING AWAY!

The performance of the Turkish market continues to cause concern as fundamentals continue to dither without mercy. Both import and local steel plate prices have reportedly tumbled by about USD 15/Ton this week, whilst the Turkish Lira gradually weakens towards TRY 17.

Steel down again.

The supply of tonnage remains just as weak and an overall lack of transactions has left this market gradually tipping away from any pricing reality at present.

As such, much like its subcontinent competitors, the Turkish market remains suspended, devoid of any meaningful activity.

Devoid of activity.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The world's oldest wooden wheel has been around for more than 5,000 years.*
- *Sudan has more pyramids than any country in the world. Not only does Sudan have more pyramids than Egypt, but the numbers aren't even close. While 138 pyramids have been discovered in Egypt, Sudan boasts around 255.*
- *The circulatory system is more than 60,000 miles long. If a child's entire circulatory system—we're talking veins, arteries, and capillaries—were laid out flat, it would stretch for more than 60,000 miles, according to the Franklin Institute.*
- *The bumblebee bat is the world's smallest mammal. Weighing in at 0.05 to 0.07 ounces, with a head-to-body length of 1.14 to 1.29 inches and a wingspan of 5.1 to 5.7 inches, the bumblebee bat—also known as Kitti's hog-nosed bat—is the smallest mammal in the world, according to the Guinness Book of World Records.*
- *There are parts of Africa in all four hemispheres. For people whose education was largely focused on the Western world, it may be surprising to find out exactly how huge the continent of Africa is. For instance, it spans all four hemispheres and covers nearly 12 million square miles.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in June	May 27 – June 04 June 11 – June 20 June 25 – July 04

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in June	May 29 – June 01 June 13 – June 16 June 29 – July 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 03 – June 05 – Dragon Boat Festival	**No holidays in June**	**No holidays in June**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of June 03, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Camilla D*	*5,130*	*Roro*	*Beached May 28*
2	*Dahlia*	*33,141*	*LNG Tanker*	*Beached May 27*
3	*Emerald 1*	*2,133*	*Supply Vessel*	*Beached May 29*
4	Lomaiviti Princess V	3,653	Roro	Arrived May 29
5	Splendour Sapphire	9,711	Oil Tanker	Arrived May 29
6	Viator (Under Tow)	4,655	Bulk Carrier	Arrived June 02
Total Tonnage		**58,423**		

CHATTOGRAM - Port Position as of June 03, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ang 1	2,997	Offshore Tug	Arrived May 07
2	*Basundhara - 8*	*7,782*	*Bulk Carrier*	*Beached June 01*
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	*Sea Matrix*	*1,357*	*Tanker*	*Beached May 28*
5	Smooth Sea 2	1,283	Tanker	Arrived May 28
6	*Sonangol Girassol*	*23,312*	*Tanker*	*Beached May 30*
7	Tain Ning	2,055	Reefer	Arrived May 24
Total Tonnage		**55,671**		

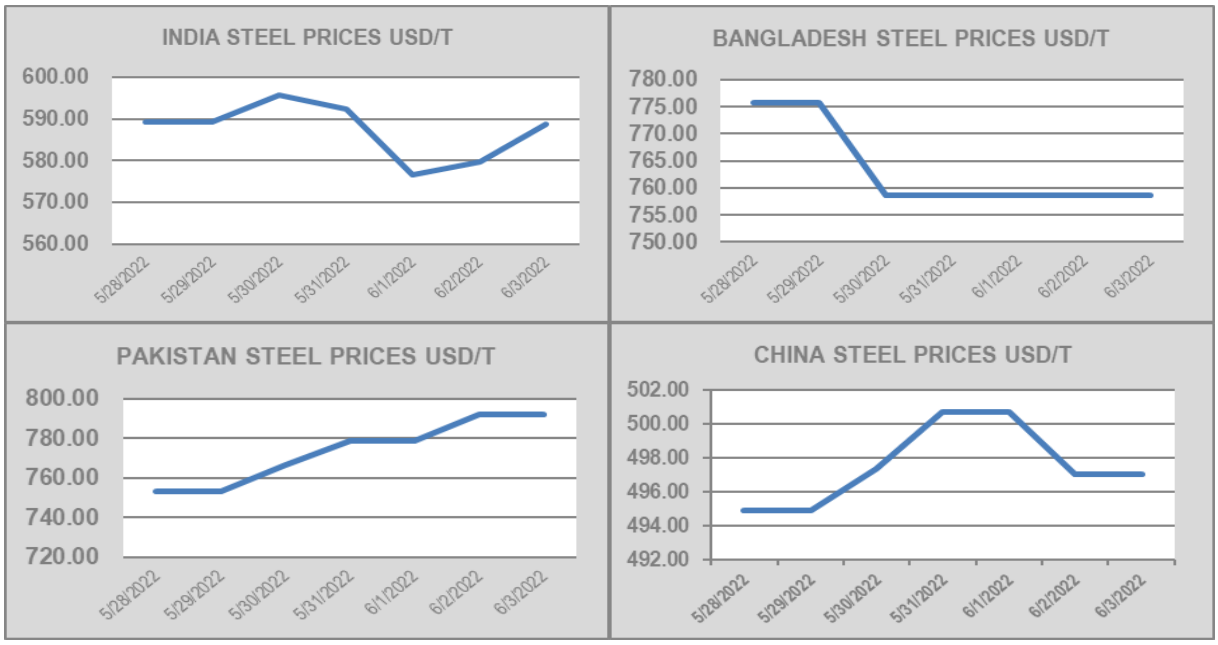
GADANI - Port Position as of June 03, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Eagle II	2,000	Tanker	Arrived May 25
2	*Ghavar*	*500*	*Tug*	*Beached May 27*
3	*Sep 350*	*4,126*	*Drill Rig*	*Beached May 30*
Total Tonnage		**6,626**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/28/2022	589.22	45,700.00	753.12	151,000.00	775.86	67,500.00	494.90
5/29/2022	589.22	45,700.00	753.12	151,000.00	775.86	67,500.00	494.90
5/30/2022	595.82	46,200.00	766.53	153,000.00	758.62	66,000.00	497.40
5/31/2022	592.48	46,000.00	778.50	155,000.00	758.62	66,000.00	500.70
6/1/2022	576.63	44,700.00	778.50	155,000.00	758.62	66,000.00	500.70
6/2/2022	579.82	45,000.00	792.13	157,000.00	758.62	66,000.00	497.06
6/3/2022	588.77	45,700.00	792.13	157,000.00	758.62	66,000.00	497.06



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311